Case Study: UPI/Online Payment Fraud – The ₹1,500 Crore Multi-State Cyber Fraud Racket (2026)

UPI/Online Payment Fraud is a rapidly growing cybercrime in which fraudsters use social engineering, fake alerts, and malicious links to trick victims into approving unauthorised money transfers through UPI apps like Google Pay, PhonePe, or Paytm.

In early 2026, a highly organised cyber fraud racket was busted in Gujarat, revealing how criminals had siphoned off crores using mule accounts. One of the most shocking aspects was the involvement of hundreds of innocent students and young job seekers whose bank accounts were turned into "mule accounts" without their full knowledge. In a single major ring, fraudsters moved over ₹39 crore across multiple states through such accounts, with total UPI-related losses in the country crossing ₹800 crore in just the first few months of FY26.

How it typically happens:

1. Fraudsters contact victims via calls, WhatsApp, or SMS pretending to be from banks, police, or offering fake cashbacks/loans.
2. They create urgency or fear (e.g., "Your account is under threat" or "Claim your prize").
3. Victims are tricked into sharing UPI PIN, OTP, or installing malicious links/apps.
4. Funds are instantly transferred to multiple mule accounts.
5. Money is quickly withdrawn or moved abroad through layered transactions before detection.

Who is usually targeted?

College students, young professionals, and middle-class families who frequently use UPI for daily transactions and are less aware of advanced social engineering tricks.

Consequences:

Victims lost life savings, faced mental trauma, and many became suspects themselves when their accounts were flagged. The gang laundered crores through hundreds of accounts. For the arrested members, it led to police raids and long legal battles. The case exposed how UPI's convenience can be weaponised at a massive scale, eroding public trust in digital payments and forcing banks and regulators to issue urgent warnings. Recovery of funds remains extremely difficult once layered.

This incident sent shockwaves across India, highlighting how cyber gangs can steal hundreds of crores in months using just phones and fake identities.

Source:

https://www.ndtv.com/india-news/9-arrested-in-rs-1-500-crore-multi-states-cyber-fraud-case-11142909